

When in July 2008 Bristol-Myers Squibb announced a \$4.5 billion, \$60 per share bid for ImClone, Icahn ignored it for months and then, in September, finally rejected it. Although the bid offered Icahn a profit of about 80 percent over his purchase price, and valued his stake at \$700 million, he claimed that a large pharmaceutical company—the name of which he refused to disclose—had offered \$70 per share, subject to due diligence.³³ On September 22, Bristol-Myers responded by letter to Icahn as chairman of ImClone lifting its bid to just \$62, implying that it either didn't believe Icahn or didn't regard the unnamed bidder's offer as serious.³⁴ (ImClone shares traded at \$59.40, suggesting the market agreed with Bristol-Myers.³⁵) In the letter containing the new \$62 bid, Bristol-Myers also threatened to conduct a proxy contest to have Icahn and the other board members removed or to go directly to ImClone shareholders with a cash tender offer for their shares.³⁶ Both tactics were Icahn favorites, and the irony wasn't lost on the media that Icahn was feeling the sharp end of his own stick.³⁷ Icahn replied the next day in a short letter to Bristol-Myers, writing that its hostile offer of \$62 was "absurd" given the presence of the \$70 offer from the large pharmaceutical company, which was to complete due diligence on September 28, less than a week away.³⁸ True to his word, on October 6 ImClone announced a merger with Eli Lilly and Company at \$70 per share in cash, for a total value of \$6.5 billion.³⁹ Eli Lilly's offer represented a \$34 premium to the 2006 offer, a \$10 premium to Bristol-Myers' original \$60 offer and an \$8 premium to its tender offer price. In the press release announcing the transaction, Icahn said, "We feel that the Eli Lilly transaction vindicates our decision to oppose in 2006 a potential transaction in which the Company would have been sold at approximately \$36 per share which the prior board favored."⁴⁰ The Eli Lilly offer gave Icahn a 109 percent cumulative gain on his position in ImClone, or 40 percent annualized, measured from the filing of the 13D notice in February 2006.

Icahn had closely followed the biotechnology industry since investing in a series of biotech firms before Genzyme, often highlighting in shareholder communications his success with ImClone. The next target after the 2006 proxy fight at ImClone was MedImmune, which sold out to AstraZeneca for \$15.6 billion after a short struggle in 2007. He also challenged Enzon Pharmaceuticals in March 2008 and Amylin Pharmaceuticals in May 2008, with mixed success. Before the conclusion of the ImClone sales process in October 2008, Icahn had already moved onto Biogen Idec, disclosing a 6 percent position in the company in August. He challenged the board in a series of unsuccessful proxy contests in 2009 and 2010. In June 2011 after a run up in the stock, Icahn sold out with a 90 percent gain, but without ever getting control. Biogen-Idec, MedImmune, ImClone Systems, Amylin Pharmaceuticals, and Enzon Pharmaceuticals were all much smaller companies than Genzyme, but the opportunity was the same. Icahn was attracted